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USA | Aerospace & Defense Electronics

Equity Research
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A&D Weekly: Backlog Growth Led by Airbus, ~10 Years of Production

Over the past 10 years, OEM backlogs grew at a 2.2% CAGR to ~15,700 aircraft today, of which 6,726 are for BA (+1.6% CAGR) and 9,037 for Airbus (+2.6%). This covers >10 years of production at today's stated rates, improving with increased production (MAX est ~44/mo production in 2026 vs next production increment of 47/mo and skyline slots booked through the decade. BA's backlog has seen APAC rise to 23% share (from 15%), while Airbus mix is largely unchanged.

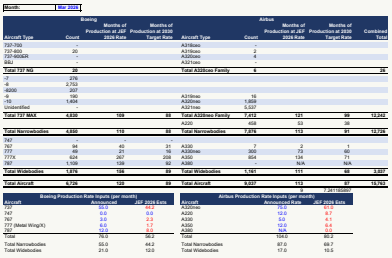
Current Backlogs Extend ~10 Years at Announced Rates. There is a balance between backlog size, production capacity and marketing efforts. A selling point for commercial aerospace over the past several years has been the expansion of the backlog, however, in times of stress backlog becomes less important. Unless backlog comes with a definitive timing of delivery it is less meaningful in periods of downturn. Current backlogs extending beyond manufacturing lead times creates risk to securing supply, forcing airlines to do longer-term fleet planning. Today, the MAX backlog of 4,830 aircraft supports 109 months of production at the JEFe assumed 2026 rate of ~44/mo The A320neo family, meanwhile, supports 121 months of production at 61/mo output. For widebodies, the 787 backlog extends 139 months, while the A350 is closer to 134 months.

BA Backlog Growing at ~1.6% CAGR, But Only 43% of OEM Backlog Vs. 45% in 2016. BA's backlog has now reached 6,726 (5,127 after ASC 606) aircraft (+1.6% CAGR from 2016). The backlog today has a similar makeup to 10 years ago, but does have a higher weighting towards North America (24% versus 19% in 2016) and APAC (23% ex-China vs 15% in 2016) while China has shrunk as a percentage of the total backlog (now just 2% of backlog, from 10% prior). However, China is reportedly nearing a 500 MAX order, with announcements expected upon President Trump's Beijing trip, delayed amid ME conflict. The share of backlog weighted toward lessors took a sizeable step back from 24% share in 2016 to just 12% today. We highlight that about 11% of the backlog is still unassigned. In aggregate, BA has about 43% of the total OEM backlog share, down from 45% in 2016, having conceded share to Airbus following the MAX groundings in 2019, but re-gaining.

Airbus Backlog Composition Largely Unchanged Since 2016, Growing at 2.6% CAGR. Airbus has also seen the backlog expand, with mix shifting away from lessors toward operators. Regional mix has remained largely unchanged as it has captured share from Boeing on the narrowbody side given ongoing MAX challenges. Airbus has seen its backlog expand from 6,967 ten years ago to 9,006 today (+2.6% CAGR). Within this, most regional exposure remains unchanged from 2016, with modest expansion in APAC (to 31% of backlog from 27% prior). This represents 57% of total OEM backlog share against BA, up from 55% in 2014.

BA Delivered 143 Aircraft in Q1 vs. 130 a Year Ago. BA delivered 143 aircraft in Q1 (JEFe 143), up from 130 a year ago even with the MAX on pause for ~1 week in March due to the wiring issue and 787s impacted by seat certs. In Q1, BA delivered 113 MAXs (and 1 NG) vs. 115 in Q4, including 33 in March following 43 in Feb and 37 in Jan. For full year 2026, we est 499 737 deliveries (42/mo), which is based on 530 produced aircraft (44/mo) as BA intends to pre-build ~30 MAX-10s ahead of cert expected later in 2026. In Q1, BA delivered 15 787s (5.0/mo) vs. 27 in Q4 (9.0/mo), including 7 in March (vs. 3 a year ago) following 3 in Feb and 5 in Jan. For 2026, we est 100 787 deliveries (8.3/mo), based on 96 produced (8.0/mo) and ~4 out of inventory as there are only ~5 pre-2023 787s yet to deliver as of YE25. YTD deliveries represent 22% of JEF est 659 deliveries in 2026.

Exhibit 1 - Boeing Current Backlog - 120 Months of Production at JEF 2026 Rate



Source: Company data

Exhibit 2 - Boeing Regional Backlog Composition - APAC Share Grows to 23% (From 15% in 2016)



Source: Cirium

Exhibit 3 - Airbus Regional Backlog - Regional Share Largely Unchanged



Source: Cirium

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Defense & Space

- **Anduril:** The U.S. Air Force recently conducted sorties with the YFQ-44A at Edwards Air Force Base, advancing its CCA program by removing direct human piloting. The tests validated operational concepts such as autonomous launch, recovery, tasking, and ground handling as part of the service's new Warfighting Acquisition System.
- **AVAV:** $14.6MM production contract for VAPOR Compact Long Endurance (CLE) UAS, under the Army's Company-Level Directed Requirement (CoLvl DR) Small Uncrewed Aircraft System (SUAS), Tranche 2, supporting the Medium Range Reconnaissance initiative.
- **AVAV:** Successfully demonstrated the LOCUST Laser weapons system aboard the USS George H.W. Bush detecting, tracking, and neutralizing multiple drone threats during a live-fire exercise. The test validated LOCUST's platform-agnostic, roll-on/roll-off design and marks a key step toward fielding operational directed-energy defenses across naval, ground, and joint force applications.
- **BA/TXT: I**nitial results from the CV-22 Nacelle Improvement Program showing a 75% reduction in maintenance hours across more than 10,000 AFSOC flight hours, driving over a 10% increase in aircraft readiness. The upgrade modernizes critical nacelle systems, improving reliability and sustainment while saving more than 24,000 maintenance hours to date.
- **BAH:** While testifying on the Treasury Department's budget request at a subcommittee of the Senate Committee on Appropriations on 4/22, Treasury Secretary Scott Bessent commented that the Treasury Department "No longer have confidence in BAH's ability to screen, vet, and deploy contractors within the IRS, or indeed the entire Treasury Department". On Jan 26, the treasury dept canceled all 31 of its contracts with BAH. BAH reaffirmed its FY26 guidance, and we estimated the EPS impact is minimal as we est Treasury accts for $21MM – a 0.6pt headwind to FY27E Civil rev growth and a 0.2pt headwind to total BAH revs, which are projected to grow 2.5% in FY27 (March YE). At 15% Civil margins = $0.02/sh.
- **ESLT:** Awarded several contracts worth ~$200MM for the supply of advanced airborne munitions to the Israel Ministry of Defense, intended to boost domestic munitions production.
- **Joby/LHX:** Joby, with mission equipment integrator LHX, plans to demonstrate its autonomous, hybrid-electric S4-T eVTOL for the Army, positioning the aircraft as a multi-mission Group 4+ UAS for ISR, advanced teaming, and launched effects. Powered by a turbine-hybrid system, the S4-T offers up to 10+ hours endurance, speeds up to 180 knots, and substantial payload capacity to support modular defense missions.
- **KTOS:** Completed initial flight testing of J85-powered Firejet (Mk1), significantly improving range, speed, endurance, and climb performance. The J85 configuration is positioned as a first-to-market, high-performance tactical jet UAS priced below $500,000, supported by ramping domestic engine production to meet growing U.S. and allied demand.
- **LMT:** Approved $200MM Foreign Military Sale to the Netherlands covering 530 AGM-114R2 Hellfire missiles and related support. The package includes technical assistance, integration support, publications, and logistics and program services.
- **LMT:** Sikorsky highlighted growing international demand for its modular Armed Black Hawk mission kits, which expand the helicopter's roles to include air-mobile assault, close support, and tactical lift. The capability, developed with Fulcrum Concepts and already used by Army and SOF units, is increasingly attractive to partner nations with smaller fleets seeking multi-mission flexibility.
- **NOC/BA:** Chief of Naval Operations Admiral Daryl Caudle said the Navy will award a production contract for the F/A-XX 6th generation fighter in August, inline with expectation for an award by the end of 2026.
- **PSN:** Selected by the Los Angeles Department of Water & Power to provide demand response technology and services to optimize distributed energy resource management across its electric grid. The five-year contract supports LADWP's goal of 100% clean electricity by 2035 while expanding demand response capacity more than fourfold through interoperable grid management systems.
- **RTX:** The army awarded $904MM contract modification for advancing production of LTAMDS totaling five Lower Tier Air and Missile Defense Sensors and six spares, bringing total award value to $5.4BB. The army obligated $726MM in FY26 missile procurement funds.
- **RTX:** Approved $214MM Foreign Military Sale to Lithuania covering AIM-9X Sidewinder Block II missiles and associated support. The case expands a prior FMS to a combined total of 168 tactical missiles, along with guidance units, training assets, and U.S. government and contractor logistics and technical support.
- **SAIC:** Awarded a $75.2MM PRISM task order supporting NAVAIR's mission-critical aviation systems, with work including engineering/sustainment services and using predictive analytics/digital engineering tools to cut downtime.
- **SNC:** The Army's HADES aircraft is scheduled to begin flight testing this summer, with first deliveries expected later this year under a $1BB Sierra Nevada Corp. program. Based on the Bombardier Global 6500, HADES will replace legacy turboprop ISR aircraft and is intended to deliver extended range and enhanced sensing capabilities.

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Commercial Aerospace

- **AAR:** Launched Airvoyant, a new agentic AI-powered parts procurement subsidiary built natively on AWS and integrated with Aeroxchange (>5,000 suppliers) and Trax ERP. Management guided for 20–30% procurement cost reduction for users, with AI agents analyzing supplier quotes and ranking recommendations based on historical pricing and vendor performance data. Delta Air Lines and Air Canada are SME collaborators; JetBlue, Allegiant, Atlas Air, Air Europa, Thai Airways and Virgin Atlantic are launch partners.
- **AAR/WWD:** Signed a commercial distribution agreement, making AAR the preferred distributor of parts such as fuel filters, gaskets, and seals for LEAP, GEnx, and CF34 engines to commercial airlines. The deal expands an existing defense relationship into commercial aviation, giving airlines faster access to critical WWD components through AAR's global distribution network, particularly for AOG support.
- **BA:** Boeing has begun formal certification flight tests of the 737 MAX engine anti-ice design fix, a key milestone toward clearing the MAX 7 and MAX 10 for entry into service. The revised system is being evaluated on the MAX 10 test aircraft, with final approval resting with U.S. regulators amid continued caution from the company.
- **BA:** Ethiopian Airlines announced an order for six 787 Dreamliners, expanding the airline's long-haul fleet, fully exercising commitments from landmark 2023 order. The order builds on earlier commitments for 9 Dreamliners and 11 737 MAX jets.
- **BBD:** Signed a long-term services agreement valued at approximately $300MM, centered on Bombardier's Smart Parts cost-per-flight-hour programs for Vista's Challenger 3500 order and a significant portion of its existing fleet. The agreement provides predictable maintenance costs and parts coverage, supporting fleet availability and operational reliability.
- **GE:** Announced a new round of investments supporting MRO skilled laborers, part of a five-year $30MM workforce training investment announced in October. The new round of investing supports programs in areas across the US, Europe, and Asia, in metropolitan areas near GE facilities.
- **HON:** Announced it has agreed to sell its Productivity Solutions and Services (PSS) business to Brady Corporation for $1.4BB in cash w/ close expected in H2:26. This represents an 8X trailing 12-mo EBITDA multiple per Brady, w/ PSS having $1.1BB in '25 sales and an implied ~$175MM in EBITDA (~16% margins). HON remains engaged w/ strategic alternatives of Warehouse and Workflow Solutions (WWS), along w/ the Aero spin planned for Q3:26.
- **RTX:** P&W Canada opened its new 130k sq ft manufacturing facility in Casablanca, Morocco after first breaking ground in 2024. The site is expected to create ~200 new jobs by 2030 and will produce detailed static and structural machined parts for P&W Canada's aircraft engines incl the PT6 engine family.
- **RTX:** Investing $100MM in its facility in Rzeszów, Poland to expand production capacity and add advanced capabilities to meet demand for commercial and military engines incl the GTF, F135 and F100.
- **RTX:** Announced >$100MM in U.S. GTF MRO capacity investment across three sites: $78MM in Irving, TX (new 500K sq ft USM hub, stock +>60%); $20MM in West Palm Beach, FL (capacity +40%, +~50K sq ft); and $4.7MM in Springdale, AR (additive manufacturing added, process time -60%). Management disclosed AOGs down ~15% vs. year-end 2025, MRO output +>20% y-o-y and turn times improved ~20% y-o-y, the most granular in-service GTF performance data released to date.
- **TDG:** Nicholas Howley, Co-Founder and Chairman, sold a $12.8MM in shares, occurring on the same day he acquired an equal number of shares through option exercises.
- **TXT:** Bell received new purchase orders for three corporate-configured Bell 429 helicopters for VIP operators in the UK and Estonia. The order follows last month's reveal of new luxury interior options for the 429 at Verticon.
- **WWD/Lufthansa Technik:** Entered an Elite Licensed Repair Service Facility agreement, making Lufthansa Technik the first authorized partner to provide full repair and overhaul services for Woodward engine controls on CFM LEAP-1A and LEAP-1B engines. The partnership supported growing A320neo and 737 MAX fleets, improving service resilience, uptime, and planning certainty for operators.

Airlines

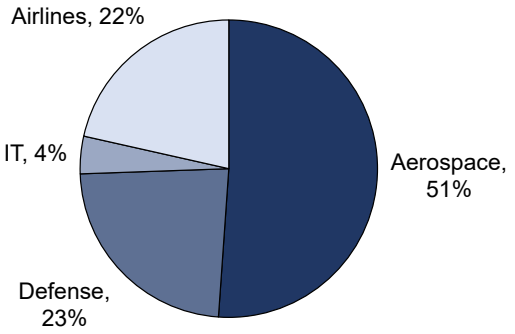
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- **AXP:** American Express reported airline spend up ~8% YoY in Q1, driven by broad-based demand across consumers, SMEs, and large corporates, with front-of-cabin spend up ~12%, reflecting its premium customer base. Management flagged modest softness late March into early April tied to Middle East travel disruptions, seen primarily through higher refunds rather than demand deterioration
- **DAL/LATAM:** Announced a long-term A320 component repair collaboration with LATAM Airlines Brasil, routing repair work through LATAM's São Carlos facility with Delta serving as sole commercial interface; Brazilian regulatory approval is pending with phased implementation expected to begin Q2:26.

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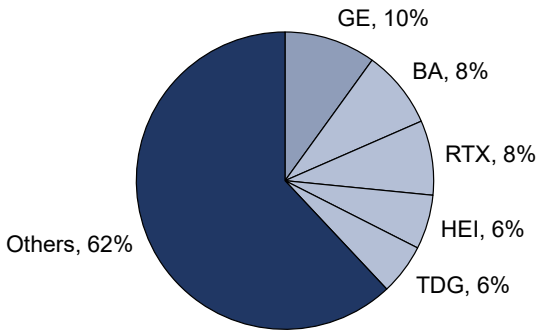
- **DAL:** TechOps announced this week an eight-year exclusive maintenance agreement with IndiGo, providing support for 20 CFM56-5B engines powering the A320ceo fleet.
- **Gol Linhas:** March air traffic increased +8.5% y-o-y, with capacity expanding +10% y-o-y and load factors up 1.1pts to 82.1%.
- **Lufthansa:** Highlighted its Americas momentum, with Lufthansa Technik's regional operations turnover up 60% since 2022 (+30% in 2025 alone) and its network now supporting ~1,800 aircraft for ~150 customers with 1,650 regional employees.
- **Lufthansa:** Announced last week, capacity has been cut ~1% and removed from schedules following the closure of Lufthansa CityLine. The cuts impact 20,000 short-haul flights through October.
- **Ethiopian Airlines:** Plans to order more than 100 narrowbody and widebody aircraft, with deliveries starting after 2032, as part of a strategy to double its fleet by 2040. The expansion will support growth across Africa and long-haul markets, underpinned by a new $12.5BB hub airport near Addis Ababa designed to significantly expand capacity.

Exhibit 4 - Investor Interest Last 30-Days - Aerospace Accounted for ~51% of Discussions



Source: Jefferies

Exhibit 5 - Investor Interest Last 30-Days - GE, BA, RTX, HEI and TDG Lead



Source: Jefferies

Upcoming Events

Bespoke Jefferies Events

- **May 6-7: BA** Management Dinner & BDS Facility Tour - St. Louis, MO
- **May 14, 2026:** DC Defense Tour with **CACI**, **GD, NOC, SAIC** - Washington DC
- **May 18-20, 2026:** SoCal Aerospace Tour w/ **AVAV, Anduril, Epirus, Jet Zero, Karman, MRCY, TDY, VOYG** - San Diego and LA Area
  - **May 18: Epirus** Mgmt Dinner
  - **May 19: AVAV**, **MRCY**, **TDY, VOYG** Mgmt Dinner
  - **May 20:** JetZero, Anduril, Karman
- **June 8-11, 2026:** Aerospace Visit w/ **AAL**, **ATI**, **CAE**, **ESLT**, **LHX**, **LUV**, Novaria,**SARO**, Shield AI**, TXT -** Dallas, TX
  - **June 8: 6:00PM -** Novaria Mgmt Dinner, Shield AI Cockatils
  - **June 9: CAE, ESLT, SARO, LUV**
  - **June 10: AAL** Mgmt Meeting, **LHX** Site Visit, ATI Mgmt Dinner
  - **June 11: TXT** Bell Site Visit
- **June 18, 2026: TXT** Mgmt Lunch, Providence, RI
- **June 30, 2026: PSN CEO** NDR - NYC
- **July 19-21, 2026:** Farnborough Air Show & Cocktail Reception w/ ATI, **BETA**, **CAE**, Crane, Ducommun, ETN, **ESLT**, ERJ, **HEI**, IAG, Joby, Karman, Leonardo, **LOAR**, Montana, Moog, Otto, PH, **TXT**, Vertical - Farnborough, UK
- **July 28, 2026: LMT CFO** NDR - NYC

Summits

- **May 26, 2026:** Space Summit: All Space, Apex, Astrobotic, Axiom Space, **BKSY**, CesiumAstro, **FLY** Intuitive Machines, **MDA,** Quantum Space, **RDW**, Rocket Lab, Seraphim, Vast Space, **VOYG**, **YSS.**

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- **May 28, 2026:** MRO Summit: Senta.IO, TATT.
- **June 1, 2026:** Airlines Summit: **AC CN**, Air Astana, APA, ALGT, Azul, Breeze, Copa, Frontier, JSX Air, LATAM, Norwegian, SWAPA.
- **June 4, 2026:** Defense Tech Summit: Advanced Navigation, Atreides, **CACI**, Firestorm Labs, Hermeus, Merlin Labs, Omni Federal, Ondas, **PDYN**, RedLattice, Salient Motion, Shield AI, True Anomaly, Two Six Technologies.
- **June 8, 2026:** Archer, Ampirus, Arrive AI, **BETA**, Bristow, Dronamics Global, Ehang, Elroy Air, **EVEX**, EVIO, Joby, Surf Air Mobility, Vertical Aerospace, VertiPorts by Atlantic, Wisk Aero.
- **June 25, 2026:** Biz Jet Summit: Corporate Jet Investor, Dallas Jet, Embraer, GAMA, Guardian Jet, Honda Aircraft, Mesinger Jet Sales, Otto Aviation Group, Wheels Up.

Jefferies Conferences

- **Jun 16-17, 2026:** Jefferies Consumer Conference w/ **AAL**, **DAL** - Nantucket, MA
- **Sept 9-10, 2026:** Jefferies Industrial Conference - NYC
  - Confirmed companies include: **AVAV, AAL, BAH, BKSY, CDRE, CAE, ESLT, EVEX, FLY, FTAI, HEI, HXL, LHX, LDOS, MRCY, NXSN IT, PDYN, PSN, LUV, RDW, SARO, TDY, TXT, UAL, VOYG, VSEC, UP, WWD.**

Conferences

- **Sept 14-16, 2026:** Air Force Air, Space & Cyber Conference - National Harbor, MD
- **Oct 12-14, 2026:** AUSA - Washington D.C.
- **Oct 20-22, 2026:** NBAA - Las Vegas, NV

Marketing & Analyst Days

- **May 12: AAR** Investor Day
- **June 2-3: HON** Aerospace Analyst Day

Expert Calls

- **Mon, May 4:** Maritime Transport Innovation w/ Navier (*Link*)
- **Thurs, May 14:** Airline Rewards w/ Point.me (*Link*)
- **Weds, June 24:** Defense update with Former Secretary of the Air Force Honorable Deborah Lee James (Link)

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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Other Companies Mentioned in This Report

- AAR Corp. (AIR: $112.08, BUY)
- AeroVironment, Inc. (AVAV: $201.91, BUY)
- Air Canada (AC CN: C$18.26, HOLD)
- Airbus Group NV (AIR FP: €168.16, HOLD)
- American Airlines Group, Inc. (AAL: $11.78, HOLD)
- American Express Co. (AXP: $318.55, HOLD)
- Beta Technologies (BETA: $15.34, BUY)
- BlackSky Technology (BKSY: $38.44, BUY)
- Booz Allen Hamilton (BAH: $79.01, HOLD)
- CACI International Inc. (CACI: $526.49, HOLD)
- CAE Inc (CAE: $25.40, HOLD)
- Cadre Holdings, Inc. (CDRE: $29.08, BUY)
- Delta Air Lines, Inc. (DAL: $68.37, BUY)
- EHang Holdings Ltd (EH: $10.37, BUY)
- Elbit Systems Ltd. (ESLT: $852.34, HOLD)
- Eve Holding, Inc. (EVEX: $2.76, BUY)
- FTAI Aviation Ltd (FTAI: $235.54, BUY)
- General Dynamics Corp. (GD: $318.71, HOLD)
- General Electric Company (GE: $282.34, BUY)
- Heico Corporation (HEI: $268.74, BUY)
- Hexcel Corporation (HXL: $91.32, HOLD)
- Honeywell International Inc. (HON: $214.34, HOLD)
- Howmet Aerospace Inc (HWM: $246.16, BUY)
- Kratos Defense & Security Solutions, Inc. (KTOS: $65.52, BUY)
- L3Harris Technologies (LHX: $330.22, RESTRICTED)
- Leidos Holdings (LDOS: $147.60, BUY)
- Lockheed Martin Corp. (LMT: $529.79, HOLD)
- Lufthansa (LHA GR: €7.45, HOLD)
- MDA Space Ltda (MDA: $32.86, BUY)
- Mercury Systems (MRCY: $78.91, HOLD)
- Next Vision Stabilized Systems (NXSN IT: ILS303.40, BUY)
- Northrop Grumman Corp. (NOC: $587.66, HOLD)
- Palladyne AI Corp (PDYN: $6.45, HOLD)
- Parsons Corporation (PSN: $51.83, HOLD)
- RTX (RTX: $179.30, HOLD)
- Redwire (RDW: $10.04, BUY)
- SAIC (SAIC: $95.27, HOLD)
- Southwest Airlines Co. (LUV: $37.75, HOLD)
- StandardAero (SARO: $24.34, BUY)
- Teledyne Technologies Incorporated (TDY: $651.75, BUY)
- Textron Inc. (TXT: $90.37, BUY)
- The Boeing Company (BA: $234.15, BUY)
- TransDigm Group Incorporated (TDG: $1,165.76, BUY)
- United Airlines Holdings, Inc. (UAL: $91.25, BUY)
- VSE Corporation (VSEC: $183.77, RESTRICTED)
- Voyager Technologies, Inc. (VOYG: $30.12, BUY)
- Wheels Up (UP: $0.39, RESTRICTED)
- Wizz Air (WIZZ LN: £9.05, UNDERPERFORM)
- Woodward (WWD: $367.52, BUY)
- York Space Systems LLC (YSS: $35.71, BUY)

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
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